

UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the
Interstate Transmission System

Docket No. RM26-4-000

**SUPPLEMENTAL COMMENTS OF
TRANSMISSION ACCESS POLICY STUDY GROUP**

The Transmission Access Policy Study Group (“TAPS”), an association of transmission-dependent utilities (“TDUs”) in thirty-nine states promoting open and non-discriminatory transmission access, respectfully submits these supplemental comments on the Secretary of Energy’s proposed Advanced Notice of Proposed Rulemaking (“ANOPR”)¹ under consideration by the Federal Energy Regulatory Commission (the “Commission”). While TAPS’s opening comments addressed a broad range of important issues raised in the ANOPR,² these Supplemental Comments focus on two critical issues raised in recent supplemental comments.

First, we address the filing submitted by the National Association of Regulatory Commissioners (“NARUC”),³ which argues that no Commission action is needed in light of recent actions taken by some (but not all) states regarding some (but not all) issues related to large load interconnections. While TAPS agrees that it is important that the Commission respect jurisdictional boundaries, action by this Commission is required to

¹ Secretary of Energy, *Ensuring the Timely and Orderly Interconnection of Large Loads*, Advanced Notice of Proposed Rulemaking (released Oct. 23, 2023), eLibrary No. 20251027-4001 (“ANOPR”).

² Comments of Transmission Access Policy Study Group (Nov. 21, 2025), eLibrary No. 20251121-5346 (“TAPS Comments” or “TAPS opening comments”).

³ Supplemental Comments of National Association of Regulatory Utility Commissioners (Apr. 13, 2026), eLibrary No. 20260413-5278 (“NARUC Supplemental Comments”).

address the clear and direct impact that large load⁴ interconnections have on transmission rates within the Commission’s exclusive jurisdiction. The Commission is statutorily obligated to ensure just, reasonable, and not unduly discriminatory transmission rates; only the Commission can protect other wholesale transmission customers from the risks of significant large load-driven cost shifting and stranded costs that would otherwise occur through Commission-jurisdictional rates.

Second, we address the Supplemental Comments and attached whitepaper submitted by WIRES,⁵ which claim that the Commission’s “and” pricing policy must fully exempt large loads from ongoing transmission charges if the Commission initially holds them responsible for the costs of network upgrades they cause. That claim—which the WIRES whitepaper admits fails to consider the significant stranded cost risk posed by large loads—is wrong. The Commission is free to modify its decades-old “and” pricing policy to ensure just and reasonable transmission rates in light of the new and unique challenges posed by large load interconnections. Alternatively, a specially designed mechanism that permits large loads to receive credits to offset their upfront network upgrade cost responsibility, provided that they sustain over time the level of transmission service demand for which they were planned, can help protect other customers while avoiding concerns about “and” pricing.

⁴ In our opening comments, TAPS used the term “Qualifying Large Loads” to cover a large, individual retail customer seeking to interconnect directly to the transmission system and meeting other to-be-determined qualifications. As the supplemental comments to which we are responding here do not use that terminology, our supplemental comments use “large loads” to refer to such loads to avoid confusion.

⁵ Supplemental Comments of WIRES (Mar. 30, 2026), eLibrary No. 20260330-5308 (“WIRES Supplemental Comments”).

SUPPLEMENTAL COMMENTS

I. COMMISSION ACTION IS NEEDED BECAUSE ONLY THIS COMMISSION CAN ENSURE JUST, REASONABLE, AND NOT UNDULY DISCRIMINATORY TRANSMISSION RATES.

NARUC claims that “no action in the ANOPR is necessary to enable state commission[s] to cost-allocate transmission between end-use customers,” and that therefore there is “no regulatory gap” that requires Commission action.⁶ While TAPS agrees that the Commission should not intrude on matters subject to state and local jurisdiction,⁷ state authority over *retail* matters in no way eliminates the need for the Commission to take decisive action on the important issues raised in the ANOPR that fall squarely within the Commission’s exclusive jurisdiction.

As NARUC notes, state regulators have authority to “determine the cost allocation of transmission costs *among retail ratepayers*.”⁸ But that authority does not extend to interstate transmission rates. State regulators thus cannot address what should be included in the wholesale transmission revenue requirement or the allocation of transmission costs among wholesale transmission customers. That authority belongs solely to this Commission.

There is no question that the huge increase in new and upgraded transmission facilities needed to serve large load interconnections have a direct and significant impact on Commission-jurisdictional transmission rates. For instance, some Commission-jurisdictional transmission costs are allocated among Load Serving Entities (“LSEs”) based on their relative load ratio shares in the transmission zone, which may span

⁶ NARUC Supplemental Comments at 6.

⁷ TAPS Comments at 11.

⁸ NARUC Supplemental Comments at 6 (emphasis added).

multiple states. If one of those LSEs has a new large load customer, the costs of network upgrades needed to serve that new load would be included in the transmission rates allocated among all those LSEs. If that large load fails to achieve and sustain demand at the level for which these network upgrades were built, the costs of the upgrades will be allocated based on load ratio shares that do not reflect the addition of a large load (whose demand projections triggered the upgrades) to the peak load of the LSE serving that large load. As a result, the other LSEs in the zone—and ultimately their retail customers—would be forced to bear significant stranded costs caused by that large load.

Even if the state with retail regulatory authority over the utility serving the large load imposes retail-level protections against the large load failing to materialize and sustain the service level for which a major network upgrade was planned, other wholesale transmission customers do not necessarily get the benefit of those protections. That state cannot regulate the Commission-jurisdictional transmission rates those other wholesale transmission customers pay. Action needs to be taken by this Commission to ensure that all customers paying transmission rates under the Commission's exclusive jurisdiction are adequately protected. Indeed, the Commission is obligated to address this problem to fulfill its mandate under the Federal Power Act to ensure just, reasonable, and not unduly discriminatory transmission rates.⁹

The examples of state actions highlighted by NARUC do not obviate the need for Commission action with respect to rates within its jurisdiction. Many of the examples focus on the allocation of costs among classes of retail customers.¹⁰ While they can have

⁹ 16 U.S.C. §§ 824d, 824e.

¹⁰ For instance, NARUC explains that the Georgia Public Service Commission's "mission" is "to prevent new data centers from shifting costs to residential customers." NARUC Supplemental Comments at 3. Likewise, it explains that the Public Utilities Commission of Ohio approved a new retail tariff for AEP

value (e.g., deterring the planning and construction of network upgrades for speculative data centers), those actions do not address stranded costs and the cost shifting that occurs through Commission-jurisdictional transmission rates. Other of NARUC's examples expressly acknowledge this Commission's jurisdiction over transmission rates and contemplate the need for additional action by this Commission. For example, the Illinois Commerce Commission's March 2026 order requires large loads to enter a Transmission Service Agreement, but imposes as a condition for commencing retail service that the TSA be filed with this Commission.¹¹ Far from showing that state action alone can solve the full range of issues raised by large load interconnections, these examples confirm this Commission's essential role to ensure just, reasonable, and not unduly discriminatory or preferential transmission rates.

Holding large loads responsible for the costs of network upgrades they cause, as contemplated in the ANOPR,¹² is the most protective of other wholesale transmission customers paying Commission-jurisdictional rates.¹³ This approach allows this Commission to fulfill its mandate under the Federal Power Act without intruding on matters subject to state jurisdiction. It does not affect state authority over distribution and

Ohio intended to "prevent potential stranded asset costs from being passed to other retail ratepayers." *Id.* But the Public Utilities Commission of Ohio made clear that it was *not* addressing issues related to wholesale transmission customers. *In re Application of Ohio Power Co. for New Tariffs Related to Data Ctrs. & Mobile Data Ctrs.*, No. 24-508-EL-ATA, Order P 132 (Pub. Utils. Comm'n of Ohio July 9, 2025), <https://dis.puc.state.oh.us/ViewImage.aspx?CMID=A1001001A25G09B43531100509> (finding concerns about "wholesale impacts that could materialize" to be "statutorily outside of this Commission's intrastate purview").

¹¹ *Filing Proposing Revisions to Rider Distrib. Sys. Extensions*, Nos. 25-0677 and 25-0679, Order at 111 (Ill. Com. Comm'n Mar. 19, 2026), <https://icc.illinois.gov/docket/P2025-0679/documents/377910/files/662669.pdf>. It also specifies that "[i]f there is a revenue shortfall from the [large load customer] in any year, the delta will be recovered under the TSA with that [large load customer] and credited to the transmission revenue requirement borne by transmission customers in the ComEd zone." *Id.*

¹² ANOPR P 25.

¹³ See TAPS Comments at 22.

generation, and it leaves states the authority to set retail rates and determine how an LSE's share of FERC-jurisdictional transmission costs will be allocated among its retail customers, including the large load.

Importantly, this approach is consistent with pledges made by many data centers,¹⁴ and provides them with the consistent rules they need to deploy quickly.¹⁵ Consistency is also important to protect wholesale transmission customers against bearing unreasonable data center-driven costs and cost shifts. Particularly in transmission zones spanning multiple states, holding large loads responsible for the network upgrade costs they cause avoids the potential for cost-shifting among states. Consistent large load cost responsibility requirements would also allow the Commission to ensure just and reasonable rates in a manner that is quick and efficient compared to a piecemeal approach.

While TAPS urges the Commission to hold large loads responsible for the network upgrade costs they cause, Commission action is still needed to the extent it does not do so. At minimum, the Commission must ensure that the results of protective measures adopted at the retail level (e.g., minimum demand charges, minimum contract terms, exit fees, etc.) are properly reflected in transmission rates.¹⁶ For example, if a public utility recovers transmission costs from a large load customer under retail minimum demand charge requirements, those payments must be reflected in its transmission revenue requirement used for Commission-jurisdictional rates. Such

¹⁴ *Ratepayer Protection Pledge*, The White House (Mar. 4, 2026), <https://www.whitehouse.gov/releases/2026/03/ratepayer-protection-pledge/>.

¹⁵ See Supplemental Comments of Oracle America, Inc. at 4 (May 1, 2026), eLibrary No. 20260501-5026 (“Patchwork state regulation . . . complicates efforts to implement and integrate Oracle’s beneficial investments.”).

¹⁶ See TAPS Comments at 24-27 (discussing this alternative in more detail).

treatment is necessary to ensure that *all* other customers—including other wholesale transmission customers—are protected against the stranded cost risks caused by new large loads and thus are shielded from unjust, unreasonable, and unduly discriminatory transmission rates. As certain public utilities that have filed data center agreements with the Commission have recognized, this is necessary “to avoid the potential for double recovery of Network Upgrade costs.”¹⁷

Although some data center agreements have been filed with the Commission, not all public utilities with such agreements have done so.¹⁸ If the Commission does not require upfront funding of large load-driven network upgrades, it must take action to ensure that retail level protections are consistently and properly reflected in Commission-jurisdictional transmission rates *in all instances*.

Likewise, there must be meaningful review to ensure that the level of protection provided under contracts with data centers is sufficient to ensure just and reasonable transmission rates. Given the inherent and significant impact of large load-driven network upgrades on other transmission customers who are not parties to the data center agreements, TAPS is concerned that the *Mobile-Sierra* presumption of reasonableness

¹⁷ AES Ohio, Transmission Customer New or Upgraded Service Construction Service Agreement, Transmittal Letter at 9 n.18, *The Dayton Power & Light Co.*, Docket No. ER25-192 (Oct. 23, 2024), eLibrary No. 20241023-5154. *See also* PECO, Transmission Security Agreement between PECO Energy Company and Amazon Data Services, Inc., Transmittal Letter at 11 n.48, *PECO Energy Co.*, Docket No. ER25-3492 (Sep. 23, 2025), eLibrary No. 20250923-5131 (“In order to avoid the potential for double recovery of the costs of transmission facilities used to provide delivery services to Amazon, PECO agrees that, if these costs are rolled into its transmission rates under Attachment H-7 of the PJM Tariff and if Amazon subsequently makes a payment to PECO as a result of a Customer Shortfall Event, PECO will appropriately reflect Amazon’s payment in its transmission cost of service under Attachment H-7.”).

¹⁸ For example, NARUC points to the example of AEP Ohio’s new retail data center tariff, but AEP Ohio has not filed any agreements with data centers under that retail tariff with this Commission. *See* NARUC Supplemental Comments at 3-4 (describing AEP Ohio’s retail data center tariff); Comments of American Electric Power Service Corporation at 5-7 (Nov. 21, 2025), eLibrary No. 20251121-5243 (describing the retail data center tariff AEP has implemented in Ohio).

may not be sufficient.¹⁹ But at minimum, to prevent the *Mobile-Sierra* presumption from becoming “a straw man behind which the Commission hides to evade its statutory duty of ensuring that the American consumer pays just and reasonable rates,”²⁰ the parties to those agreements must clearly identify the impact on other customers before seeking to rely on that presumption. A consistent Commission requirement that holds large loads responsible for the network upgrade costs they cause, however, would avoid the burdens on the Commission and other customers associated with case-by-case review.

II. REQUIRING LARGE LOADS TO BE RESPONSIBLE FOR THE NETWORK UPGRADE COSTS THEY CAUSE NEED NOT LEAD TO UNINTENDED COST-SHIFTING.

The supplemental comments submitted by WIRES, and its attached whitepaper, argue that “the ANOPR’s proposal to allocate 100 percent of network upgrade costs to large load customers” creates “the potential for unintended cost shifts to retail customers under certain implementation scenarios.”²¹ Although WIRES acknowledges “the importance of addressing stranded asset risk,” it does not do so; instead, it “focus[es] solely on the cost allocation risk associated with a framework that would *solely direct-assign the cost of network upgrades to large load customers.*”²² Because WIRES’

¹⁹ As Commissioner Chang has explained, “reliance on bilaterally-negotiated agreements, particularly ones shielded from meaningful Commission review by the *Mobile-Sierra* presumption, may not be sufficient to ensure that customers are protected against unjust cost shifts from new large loads.” *Commonwealth Edison Co.*, 194 FERC ¶ 61,184, P 1 (2026) (Chang, Comm’r, concurring).

²⁰ *Id.*, P 2 (2026) (Swett, Chairman, and LaCerte, Comm’r, concurring). As Chairman Swett and Commissioner LaCerte explained, the *Mobile-Sierra* presumption is not a different standard than the just and reasonable standard; rather, it is an application of that same standard applicable to contracts that embody certain characteristics. *Id.* (citing *Morgan Stanley Cap. Grp. Inc. v. Pub. Util. Dist. No. 1 of Snohomish Cnty.*, 554 U.S. 527, 530 (2008)).

²¹ WIRES Supplemental Comments at 2.

²² *Id.*, Appendix at 6. Specifically, WIRES analyzes the costs over time of a hypothetical 200 MW large load that (1) pays Network Integration Transmission Service for its full 200 MW peak load with no payment for network upgrades, (2) pays 100% network upgrades upfront with no payments for Network Integration Transmission Service, or (3) pays directly for network upgrades over time with no payments for

analysis does not consider any instances where the large load does not attain and sustain transmission service at the level expected when the associated network upgrades were planned, it fails to grapple with one of the most significant issues related to large load interconnections. The Commission should thus give that analysis little weight in considering what actions to take in response to the ANOPR.

Moreover, WIRES uses faulty assumptions in analyzing the narrow cost-shifting issue it does address. WIRES claims are based on the assumption that the Commission's existing "and" pricing policy requires an upfront determination that large loads pay *only* (1) the incremental costs of network upgrades they cause, *or* (2) rolled-in transmission rates. Its whitepaper "is limited to assessing the potential for cost shifts under a requirement to solely use direct assignment,"²³ and WIRES therefore "presumes that large load customers would be exempt from [Network Integration Transmission Service] charges that fund ongoing development, maintenance, and operation of the overall transmission system"²⁴ if they are directly assigned the upfront costs of the network upgrades they cause.

As discussed below, WIRES' assumption is wrong. The Commission is not restricted to completely exempting large loads from ongoing transmission charges if it holds large loads initially responsible for the full costs of the network upgrades they cause.

First, when the Commission developed its "and" pricing policy decades ago, it did not contemplate the specific challenges now facing the grid due to the rapid growth of

Network Integration Transmission Service. *Id.*, Appendix at 7-8. WIRES does not consider any scenarios in which the large load fails to sustain its full 200 MW of demand over time.

²³ *Id.*, Appendix at 19 n.17.

²⁴ *Id.* at 4.

large load interconnections primarily driven by data centers.²⁵ The Commission’s ability to address this major, new challenge need not be hamstrung by past policy developed to address very different issues. As the D.C. Circuit has explained, the standard for the Commission to depart from a past policy “is not an especially high bar: ‘it suffices that the new policy is permissible under the statute, that there are good reasons for it, and that the agency *believes* it to be better, which the conscious change of course adequately indicates.’”²⁶ Given the new and unique challenges posed by large load interconnections due to their size, rapid pace of development, and the enormous stranded cost risks they pose to other customers, a new policy specifically tailored to these challenges would be well within the Commission’s authority.

Second, even without a change in policy, the Commission has options beyond the only two analyzed by WIRES. Existing Commission policy specifically provides that transmission providers may “charge the *higher of* the embedded costs of the Transmission System with expansion costs rolled in, or incremental expansion costs, but not the sum of the two.”²⁷ Which of these approaches is the permissible “higher” one will be case-specific—depending on the magnitude of incremental costs, the rolled-in transmission rate, the load in question, whether that load is sustained over a long period of time, etc.

²⁵ See Comments of the Harvard Electricity Law Initiative at 5-8 (Apr. 15, 2026), eLibrary No. 20260415-5094 (explaining that the Commission’s “and” pricing policy was developed in the 1990s in order to promote competition and prevent utilities from exercising market power, and that the Commission at that time did not address issues related to transmission pricing for large-load customers).

²⁶ *Southwest Airlines Co. v. FERC*, 926 F.3d 851, 856 (D.C. Cir. 2019) (quoting *FCC v. Fox Television Stations, Inc.*, 556 U.S. 502, 515 (2009)).

²⁷ *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, 104 FERC ¶ 61,103, P 694 n.111 (2003), *clarified*, 106 FERC ¶ 61,009, *order on reh’g*, Order No. 2003-A, 106 FERC ¶ 61,220, *order on reh’g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh’g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff’d sub nom.*, *NARUC v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007), *cert. denied*, 128 S. Ct. 1468 (2008).

The crediting mechanism described in TAPS's opening comments is both consistent with this "higher of" principle and more protective against cost-shifts caused by large load interconnections. Under that mechanism,²⁸ the large load would pay the upfront cost of any network upgrades, but it would have the opportunity to be credited back that full amount, so long as its transmission usage over time is sufficient to cover the costs. This ensures that the large load pays the higher of either incremental costs or rolled-in transmission rates, mitigating the stranded cost risks to other wholesale customers if the large load fails to maintain a level of demand sufficient to justify the cost of the network upgrades caused by the large load.

²⁸ TAPS Comments at 22-24 (explaining that a crediting mechanism tailored to the challenges posed by large load interconnections would need to differ than crediting under the Commission's *pro forma* generator interconnection rules; for instance, the *pro forma* generation interconnection rule's balloon payment after a fixed period of time regardless of transmission service usage would fail to prevent cost shifts to other customers).

CONCLUSION

For the reasons set forth above, the Commission should consider the TAPS opening comments and these Supplemental Comments as it moves forward with this important effort.

Respectfully submitted,

/s/ Cynthia S. Bogorad

Cynthia S. Bogorad

William S. Huang

Jeffrey M. Bayne

Lauren L. Springett

Attorneys for

Transmission Access Policy Study Group

Law Offices of:

SPIEGEL & MCDIARMID LLP

1818 N Street, NW

8th Floor

Washington, DC 20036

(202) 879-4000

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